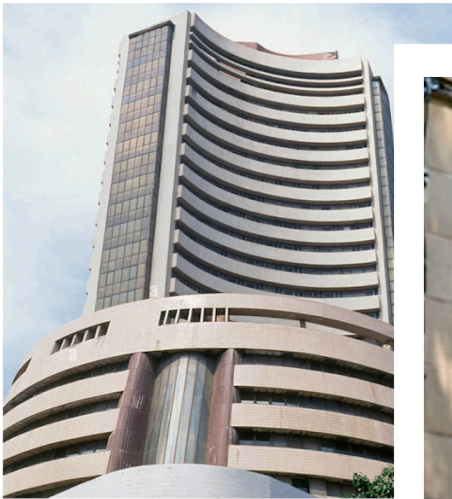


General Knowledge

Indian Economy

STUDY NOTES

Theory of Consumer Behavior



Theory of Consumer Behavior



The theory of consumer behaviour explains how individuals make choices regarding the consumption of goods and services. It focuses on how consumers decide what to purchase based on their preferences, income, and prices of goods. The central goal of consumer behaviour is to **maximize satisfaction (utility)** within the constraints of their budget.

Utility:

Utility refers to the satisfaction or pleasure derived from consuming a good or service.

Types of Utility:

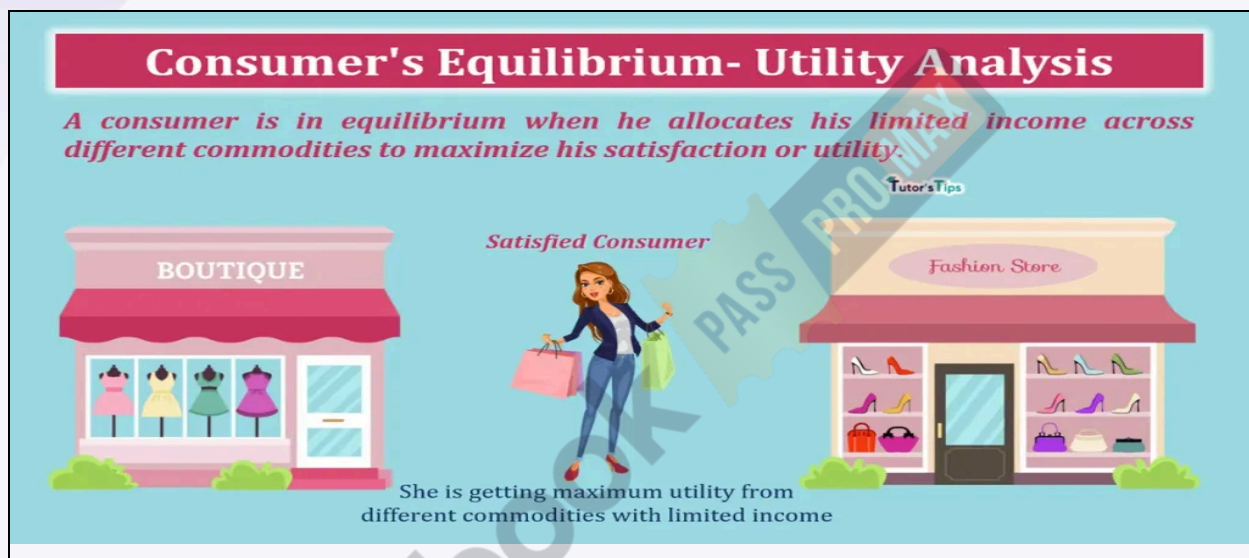
- **Total Utility (TU):** The total amount of satisfaction a consumer derives from consuming a given quantity of goods.
- **Marginal Utility (MU):** The additional satisfaction gained from consuming one more unit of a good.
 - **Law of Diminishing Marginal Utility:** As a person consumes more units of a good, the marginal utility derived from each additional unit decreases.
 - **Example:** The first slice of pizza gives high satisfaction, but by the fourth or fifth slice, the satisfaction decreases.

Consumer's Equilibrium:

Consumer equilibrium occurs when a consumer maximizes their utility given their income and the prices of goods.

Condition for Consumer Equilibrium (based on Marginal Utility per Rupee spent):

- This means that the consumer allocates their income so that the last rupee spent on each good provides the same level of additional satisfaction (marginal utility).



Example:

- If the marginal utility of an apple is 10 and its price is ₹10, and the marginal utility of an orange is 20 and its price is ₹20, the consumer is indifferent between consuming apples or oranges as they provide the same satisfaction per rupee.

Budget Constraint:

A consumer's budget constraint represents the combinations of goods and services that a consumer can purchase given their income and the prices of goods.

Key Equation:

$$\text{Income} = P_x \times X + P_y \times Y$$

where:

- P_x and P_y are the prices of goods X and Y.
- X and Y are the quantities of goods X and Y the consumer can purchase.

Example:

If a consumer has ₹100 and the price of apples is ₹10 per apple, and the price of oranges is ₹20 per orange, the consumer must decide how to allocate their ₹100 between apples and oranges.

Indifference Curve Analysis:

A curve that shows all combinations of two goods that give the consumer the same level of satisfaction or utility.

Properties of Indifference Curves:

- **Downward Sloping:** More of one good compensates for less of another.
- **Convex to the Origin:** Reflects the law of diminishing marginal rate of substitution (MRS).
- **Non-Intersecting:** Indifference curves cannot cross each other.

Marginal Rate of Substitution (MRS):

The rate at which a consumer is willing to give up one good in exchange for another while maintaining the same level of utility.

$$\text{Marginal Rate of Substitution (MRS}_{xy}) = \frac{\Delta Y}{\Delta X}$$

- **Indifference Map:** A collection of indifference curves showing different levels of satisfaction.
- **Consumer Equilibrium Using Indifference Curves:**
 - The consumer is in equilibrium where the **budget line** (which represents the consumer's budget constraint) is tangent to an indifference curve. At this point, the slope of the budget line equals the slope of the indifference curve.

Price Effect, Income Effect, and Substitution Effect:

- **Price Effect:** The total change in the quantity demanded of a good due to a change in its price.
- **Substitution Effect:** When the price of a good falls, it becomes relatively cheaper than other goods, so consumers substitute the cheaper goods for more expensive ones.
- **Income Effect:** A change in the price of a good affects the consumer's real income (purchasing power). A price decrease increases real income, leading to higher consumption of goods, while a price increase decreases real income.
- **Example:** If the price of apples falls, consumers may buy more apples (substitution effect), and they also have more money to spend on other goods (income effect).

Consumer Demand Curve:

- **Definition:** A demand curve shows the relationship between the price of a good and the quantity demanded.
- **Law of Demand:** There is an inverse relationship between the price of a good and the quantity demanded, i.e., as the price decreases, the quantity demanded increases, and vice versa (ceteris paribus).
- **Shifts in Demand Curve:**
 - **Rightward Shift:** Indicates an increase in demand due to factors like higher income, favourable changes in preferences, or a fall in the price of a complementary good.
 - **Leftward Shift:** Indicates a decrease in demand due to factors like lower income, unfavourable changes in preferences, or a rise in the price of a complementary good.

Key Terms:

- **Utility:** Satisfaction or pleasure derived from consuming goods/services.
- **Marginal Utility:** Additional satisfaction from consuming one more unit of a good.
- **Budget Constraint:** The limit on consumption imposed by income and prices.
- **Indifference Curve:** A curve showing combinations of goods that give equal utility.
- **Marginal Rate of Substitution (MRS):** The rate at which a consumer can give up one good for another while maintaining utility.

- **Price Effect:** Change in demand due to a change in price.
- **Substitution Effect:** Change in demand due to a good becoming relatively cheaper.
- **Income Effect:** Change in demand due to a change in purchasing power caused by a price change.

